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Key Highlights & Summary

- **Meta Platform's 12-Month Price Target: $761**
- Meta's price targets have been raised due to improved user engagement across its platforms and consistent growth in quarterly revenues, YoY.
- Since the introduction of AI-curated ads, user engagement across the company's platforms may have increased significantly, as depicted by its daily active people (DAP) metric.
- During Q2'25, Meta Platforms' revenue increased by 22% to $47.5B (Q2'24: $39.1B) due to both higher advertising revenue and the number of ads delivered.
- As per its latest earnings call, Meta Platforms plans to invest aggressively in its AI infrastructure.
- In our opinion, return on its AI investments would remain crucial for Meta Platforms to maintain its valuation.

Company & Management Overview

Meta Platforms, Inc. (Meta Platforms) is a social technology company that develops products that enable people to connect and share with friends and family through mobile devices, personal computers, virtual reality headsets, and in-home devices worldwide. It operates in two segments i.e. Family of Apps and Facebook Reality Labs. The company was formerly known as Facebook, Inc. and changed its name to Meta Platforms, Inc. in October 2021. Meta Platforms was founded in 2004 and is headquartered in Menlo Park, California.

Mark Zuckerberg is the founder, chairman, and CEO of Meta Platforms. Mark is responsible for setting the overall direction and strategy for the company. Mark studied computer science at Harvard University. The company has succession planning in line with several experienced professionals serving in key management positions.

Growth Catalysts

Meta Platforms AI investments

- As per its latest earnings call, the company is heavily investing in AI in order to drive more targeted ads for users with less use of personal data.
- In our opinion, since the introduction of AI curated ads, user engagement on the company's platforms may have increased significantly, with daily active people (DAP) growing to 3.48B by Q2'25.
- Furthermore, AI could be driving results across Meta's monetization tools through various AI products, such as Meta Advantage, which delivers automated ads, etc.
- Advertisers on the company's platforms may be using at least one of its AI-driven products. Other AI products include Meta Lattice, a new model architecture that learns to predict an ad's performance across a variety of datasets and optimization goals. Also, Meta's AI Sandbox is a testing playground for generative AI-powered tools like automatic text variation, background generation, and image outcropping.
- Along with improved content recommendation, Meta's short-video feature i.e. Reels, could have contributed to increased time spent on

Current Price: $752.00

Current Market Capitalization $1.93T

Sector: Communication Services

Industry: Internet Content & Information

Bear	*Price	Bull
$569.28	$761.40	$894.64
25%	**50%	25%

*12-MONTH PRICE TARGET | **PROBABILITY

Total Return to Base Target Price: 1.25%

Base Price Target Market Capitalization: $1.95T

Average Volume: 12.2M

Average Beta: 1.27x

Primary Exchange: NASDAQ

Key Financial Metrics - Base Price Target

Annual	2025E	2026E
Revenue	$194.6B	$226.6B
Operating Income	$76.9B	$94.3B
Unlevered FCF	$17.9B	$36.0B

Diluted Shares Outstanding (M Shares): 2,570M

Fiscal Year	Base Price Target FY EPS
2025E	$25.22
2026E	$30.82
2027E	$36.53
2028E	$43.47
2029E	$50.13

Revenue

FY19	FY20	FY21	FY22
$70.7B	$85.9B	$117.9B	$116.61B

Net Income

FY19	FY20	FY21	FY22
$18.5B	$29.1B	$39.4B	$23.2

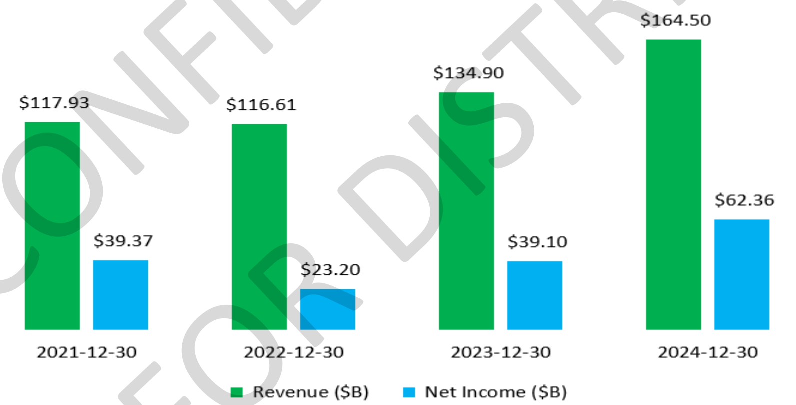
Sources: *Meta Platforms 10-K | Meta Platforms Investor Relations | BamSec | Business Research Methodology | Word Resources Institute | FinBox | Equity Clock | Statista | Gurufocus | Financial Modelling Prep | Investopedia |Yahoo Finance | © Theta Trading Corporation 2025* its platforms, hence enhancing the advertising opportunity and potential for higher earnings.

- Over the past 10 years, Meta Platforms' revenue generated from its advertising platform has grown at a strong cumulative average growth rate (CAGR) of 30%, approximately. The company's advertising revenue is also responsible for more than 95% of its total revenue.
- As per its latest earnings call, Meta Platforms is investing billions of dollars into expanding its AI infrastructure.
- In our opinion, growth in user engagement and ad conversion due to Meta's AI prowess would be a major growth catalyst for the company.
- Lastly, Meta Platforms' large language model is available for both research and commercial use. As per its earnings call, Meta's AI chatbot may be gaining traction with nearly 1B active users.
- This could benefit Meta with innovations and monetization, going forward.

The Metaverse

- As per Meta's earnings call, the Metaverse could be described as *"an immersive online environment where users will be able to interact with any other users anywhere in the world."*
- Although Meta Platforms could be some years away from building its virtual offering, in our opinion one of the company's long-term growth strategies is the metaverse ecosystem with AI immersive hardware and software.
- As per its latest earnings call, Meta Platforms sold over 2M of its Ray-Ban smart glasses and may be ramping up production to 10M units annually.
- In a recent earnings call, Meta CEO Mark Zuckerberg emphasized that AI smart glasses may become *"so ubiquitous that those without them could face a significant cognitive disadvantage."*
- In our opinion, Meta's AI wearables may become a future platform for revenue growth.
- The company is also making progress on its Metaverse software Horizon to help creators build richer, AI-enabled experiences on Horizon across mobile and Quest devices.
- In the future, this immersive online experience i.e., Metaverse, could be monetized at scale and may become a major revenue driver for the company.

Financial & Valuation Analysis



Financial Analysis

- Meta Platforms' total revenue increased by 22% to $164.5B (FY23: $134.9B) in FY24 primarily due to higher revenue of its advertising business. Advertising revenue increased as a result of increases in both the average price per ad and the volume of ads delivered.
- The company's net income was also higher and amounted to $62.4B (FY23: $39.1B0 in FY24 on account of a higher quantum of revenues and a higher operating margin.
- During Q2'25, Meta Platforms' revenue increased by 22% to $47.5B (Q2'24: $39.1B) due to both higher advertising revenue and the number of ads delivered.
- Furthermore, net income increased to $18.3B (Q2'24: $13.5B) as a result of a higher quantum of revenue coupled with lower operating expenses.
- As per its financials, Meta Platforms may have experienced an increase in advertising demand due to ongoing improvements in its ad performance from its ad targeting and measurement tools.

- Historically, the company's 10-year (2014-24) revenue cumulative average growth rate (CAGR) is 30% approx.
- **In our opinion, revenues may be projected to increase in double digits over the next 5 years, assuming growth within the advertising business, and the company's focus on AI and its Metaverse concept.**
- **Meta Platforms' operating margin stood at 42% in FY24; however, in our opinion, operating margins could be projected to improve due to the projected revenue growth of the company exceeding the growth in expenses.**
- In our opinion, Meta Platforms' net income and EPS are projected to increase YOY as a result of a higher quantum of revenues and higher operating margins.
- **Going forward, the Meta Platforms capital expenditures (CAPEX) are also projected to increase owing to investments in data centers, servers, network infrastructure, and office facilities.**
- **Furthermore, a large factor in driving the increase in CAPEX could be an investment in the company's artificial intelligence (AI) and machine learning capabilities.**
- **In our opinion, the Meta Platforms' returns on its AI-related infrastructure investment may be crucial for the company to achieve and maintain its valuation targets.**

Valuation Analysis

- Meta's price targets are a combination of the current investor sentiment related to its growth prospects within the AI wave and its valuation based on fundamentals.
- Meta Platforms' FCFs may be projected to grow at a CAGR of 17% during 2025-2029.
- Meta Platforms forward base P/E multiple is assumed at 30x.
- Being a growth company, Meta Platforms' terminal FCFs are assumed to grow at around 4%.

Potential Risks

Risks Related to Product Offerings

- The company's financial performance could be determined by its success in adding, retaining, and engaging active users of its products.
- However, there may be factors related to its product offerings that could negatively affect user retention, growth, and engagement including (i) changes in user behavior (ii) Meta Platforms' inability to continue to develop user-engaging products (iii) Meta Platforms' inability to successfully maintain or grow usage with mobile and web applications that integrate with its product offerings, etc.
- In our opinion, failure to retain or grow users could significantly impact Meta Platforms' profitability growth prospects.

Increased Competition

- Meta Platforms could be facing considerable competition, both in terms of increasing its user base and growing its advertisement revenue.
- With respect to the user base, Meta Platforms primarily faces competition from TikTok and Alphabet's video platform, YouTube.
- As per its latest financials, although Meta Platforms' daily active people (DAP) count stands at 3.48B, TikTok's active users grew to over 1.12B in a relatively short span of time, while YouTube's user base stands at around 2.7B.
- During 2021, the company's stock price declined due to a slowdown in the growth of its daily active users (DAUs) between Q3'21 and Q4'21. Therefore, user engagement metrics like DAP, DAUs, etc. are extremely significant to the growth of the company. Furthermore, if these metrics are negatively impacted due to higher competition, then this may pose a threat to the company's overall growth prospects.
- Furthermore, ChatGPT and Google Gemini may offer competition to Meta's AI offering i.e. Llama, in the large language model space.
- Therefore, in our opinion, intense competition could be a major risk for Meta Platforms.

Regulatory and Government Inquiries

- Meta Platforms may receive formal and informal inquiries from government authorities and regulators regarding compliance with laws and regulations, many of which are evolving and subject to interpretation.
- The laws and regulations are particularly related in the areas of privacy, data protection, law enforcement, consumer protection, competition, etc.

- Therefore, any inquiries or enforcement actions initiated by the government or regulatory authorities could cause Meta Platforms to incur substantial costs or penalties.

Litigation Issues

- Meta Platforms may be involved in numerous lawsuits.
- The results of any such lawsuits and claims cannot be predicted with certainty, and any negative outcome from any such lawsuits could result in payments of substantial monetary damages or fines, or undesirable changes to Meta Platforms' products or business practices, and accordingly, its business, financial condition, or results of operations could be materially and adversely affected.

Macroeconomic & Geopolitical situation

- The current macroeconomic situation including tariffs, inflation and other geopolitical uncertainties, could pose a risk to Meta Platforms.
- Tariffs and inflation could impact advertiser budgets and reduce ad demand and subsequently hamper Meta's revenue growth.
- The Russia-Ukraine war resulted in Meta Platforms not operating in Russia. Therefore, further geopolitical uncertainties could create further supply chain disruptions and impact advertiser budgets negatively.
- In our opinion, the abovementioned factors may result in a loss of revenue for the company.

Probability of failure of new ventures

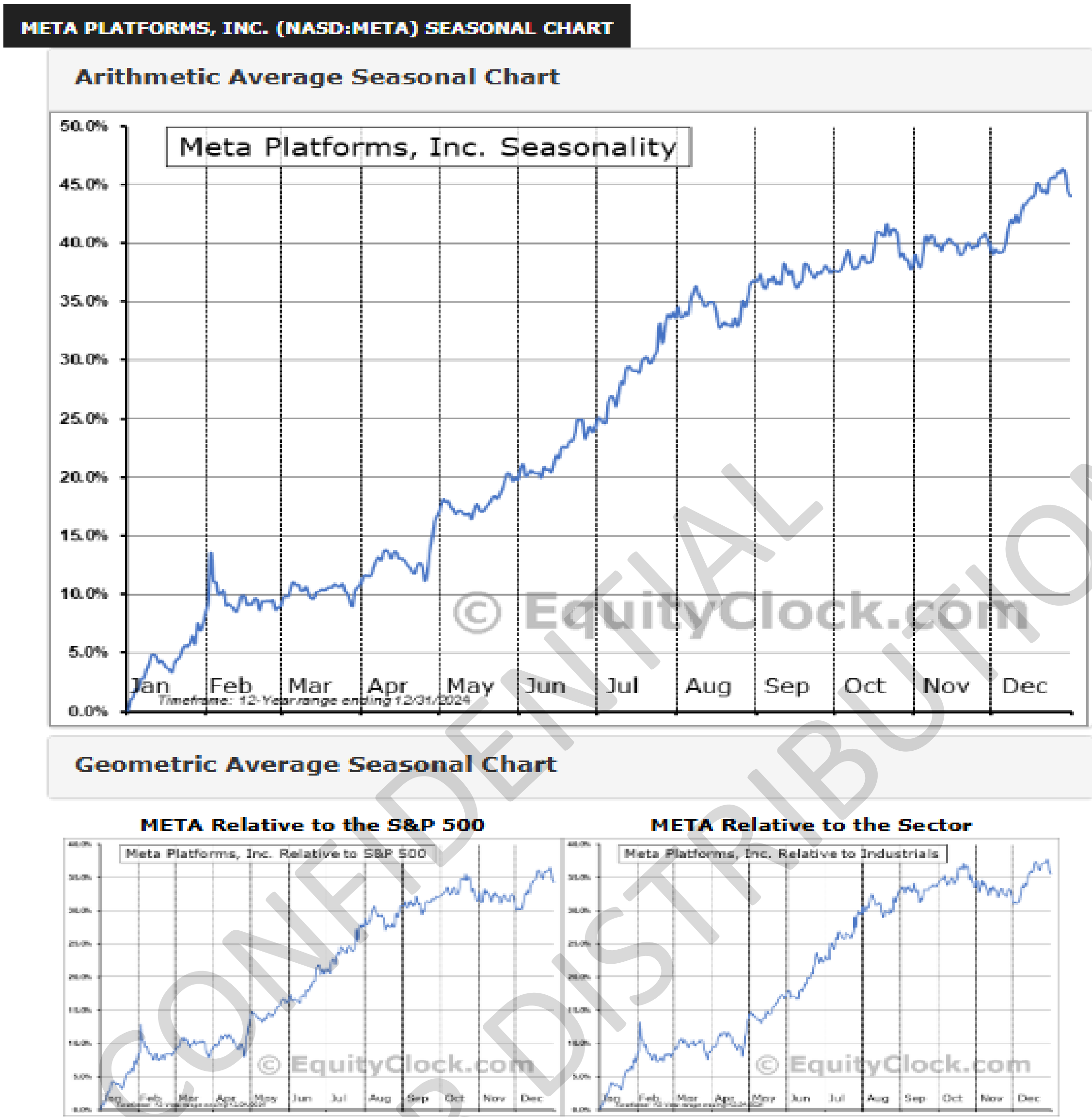
- Besides its traditional advertising business, Meta Platforms has been venturing toward a new concept i.e., the Metaverse.
- Therefore, the increase in R&D, sales & marketing costs, etc., may have an effect on reducing Meta Platforms' margins and profitability.
- Additionally, Meta Platforms could have been investing aggressively in the AI space, which has yet to realize its expected potential.,
- Therefore, if the company's investments are not successful in the long term, its business and financial performance could suffer.

Loss of Key Personnel

- Meta Platforms currently depends on the continued services and performance of the company's key personnel, including Mark Zuckerberg.
- Although the company has entered into an employment agreement with Mr. Zuckerberg, the agreement has no specific duration and constitutes at-will employment.
- In addition, many of the company's core technologies and systems are custom-made by key personnel.
- As a result, the loss of important employees, including members of management as well as key engineering, product development, marketing, and sales personnel, could disrupt Meta Platform's operations and have an adverse effect on the company's business.

Appendix

Exhibit 1: Seasonality



Monthly Averages for META over past 12 years:

	Jan.	Feb.	Mar.	Apr.	May	June	July	Aug.	Sep.	Oct.	Nov.	Dec.
% Return	8.5%	-0.1%	1.4%	5.1%	2.1%	2.4%	7.8%	3.2%	-0.7%	-1.7%	2.4%	1.9%
Gain Frequency	67%	42%	58%	67%	75%	75%	75%	75%	50%	50%	67%	67%
Max Return	27.2%	25.8%	21.2%	22.7%	11.5%	8.8%	47.9%	15.6%	21.6%	13.4%	26.8%	16.2%
	2019	2024	2023	2020	2018	2019	2013	2020	2013	2015	2022	2013
Min Return	-6.9%	-32.6%	-13.3%	-11.4%	-12.3%	-16.7%	-11.2%	-7.1%	-16.7%	-31.3%	-9.6%	-6.8%
	2022	2022	2020	2024	2013	2022	2018	2023	2022	2022	2016	2018

Appendix

Exhibit 2: Meta Platforms' Region-wise Revenue

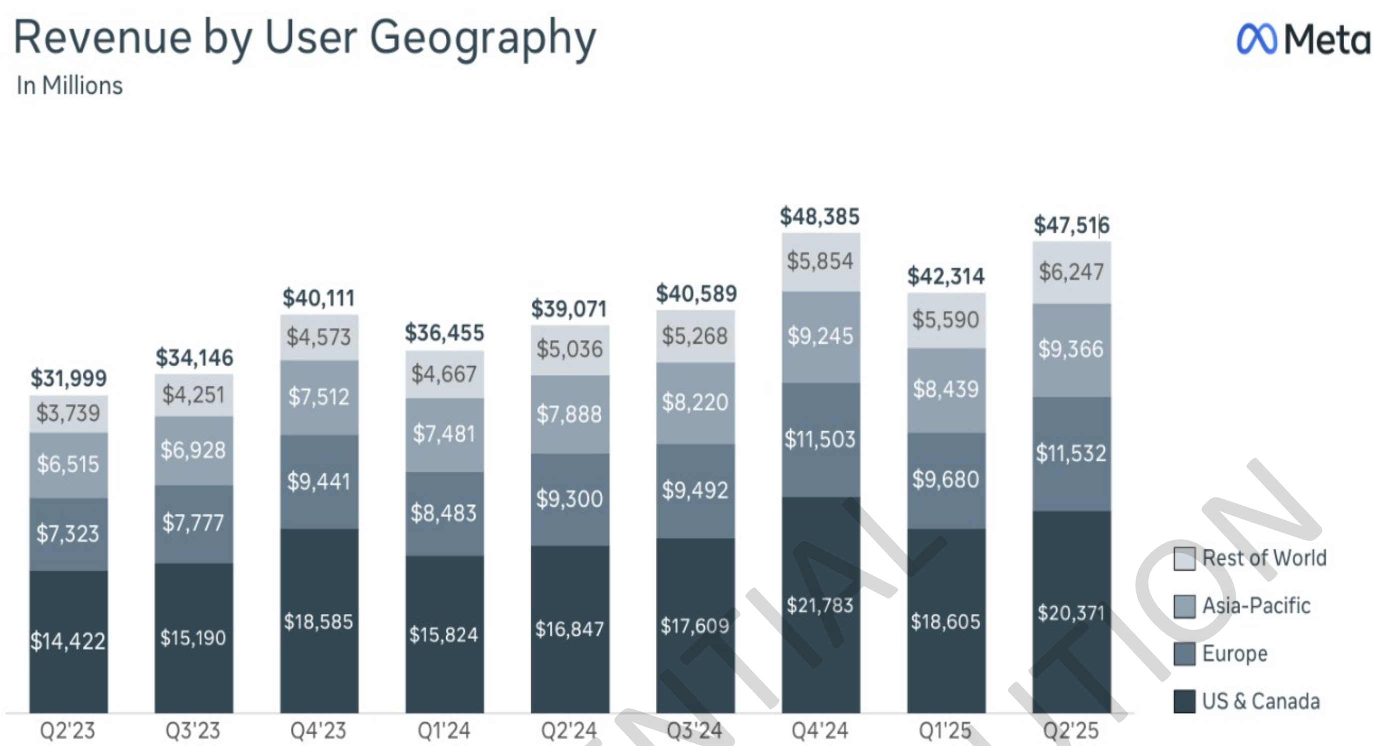
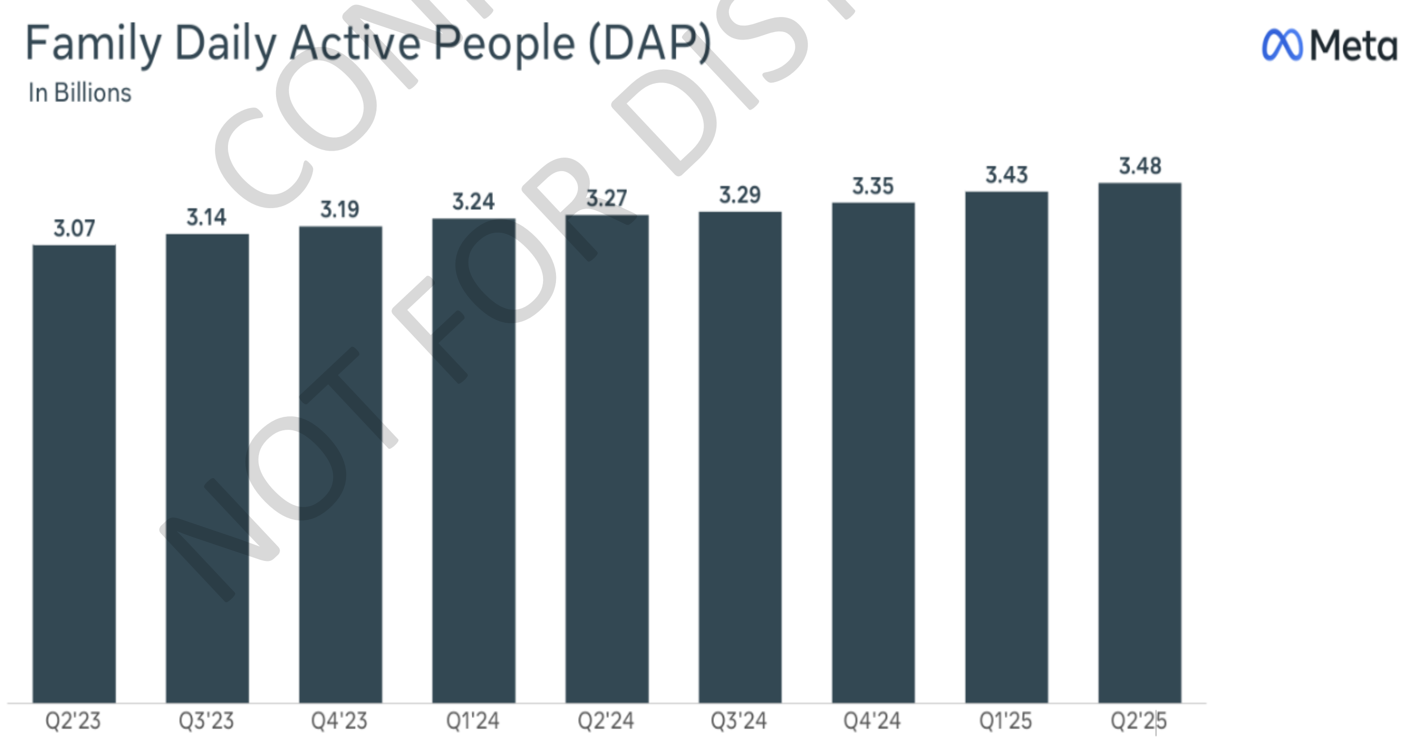


Exhibit 3: Family Daily Active People (DAP)



Appendix

Exhibit 4: Facebook's Average Revenue Per User (ARPU)

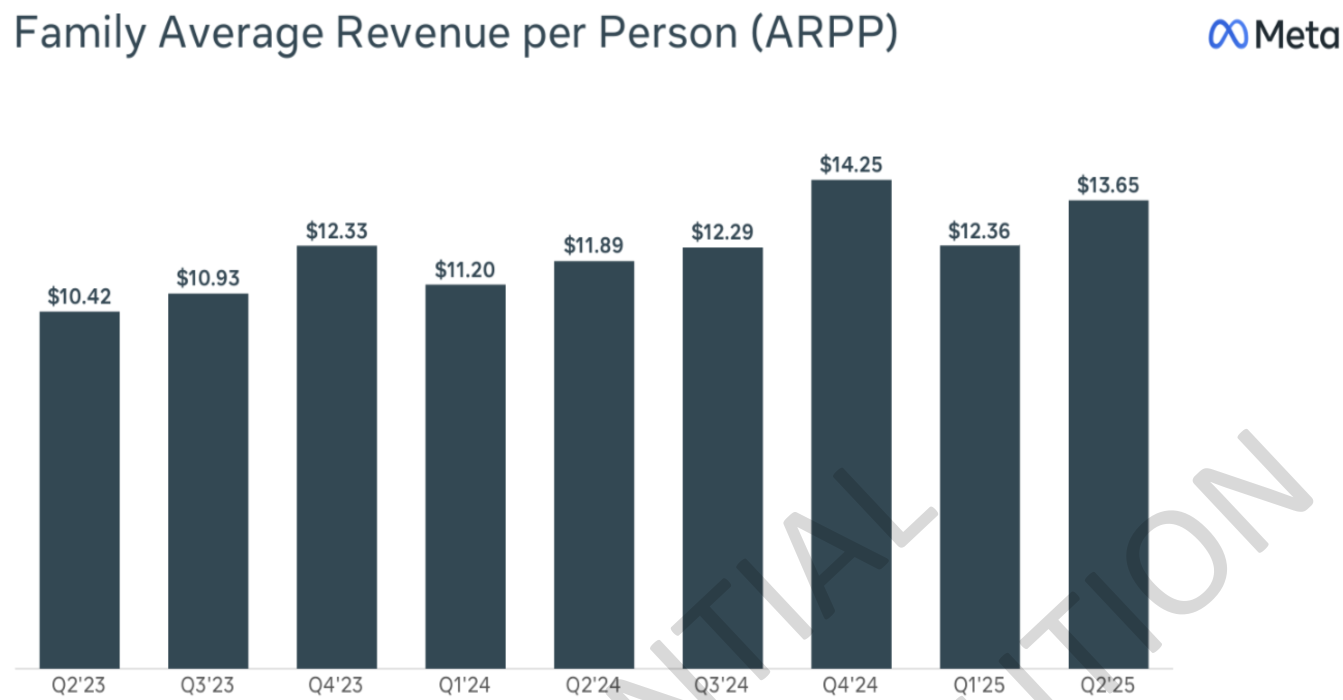
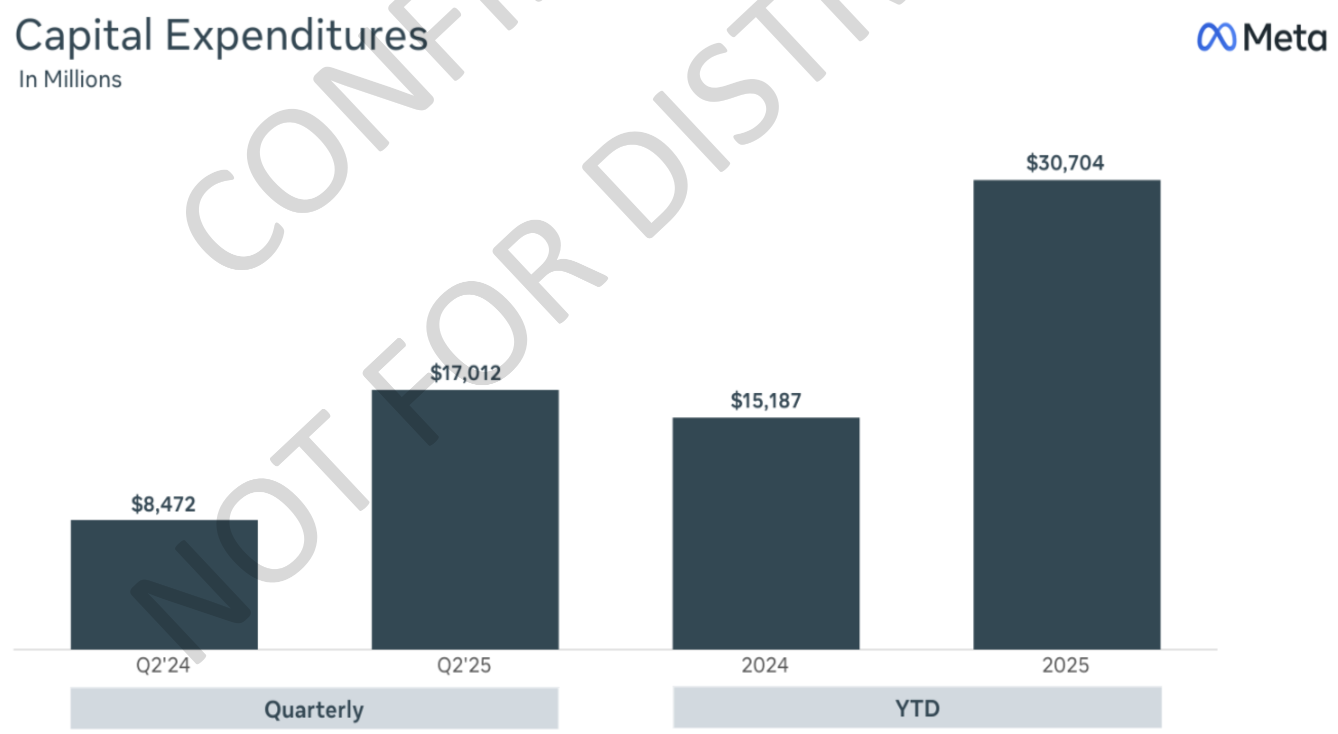


Exhibit 5: Meta Platforms' Capex



Appendix

Exhibit 6: Meta Platforms' Net Income

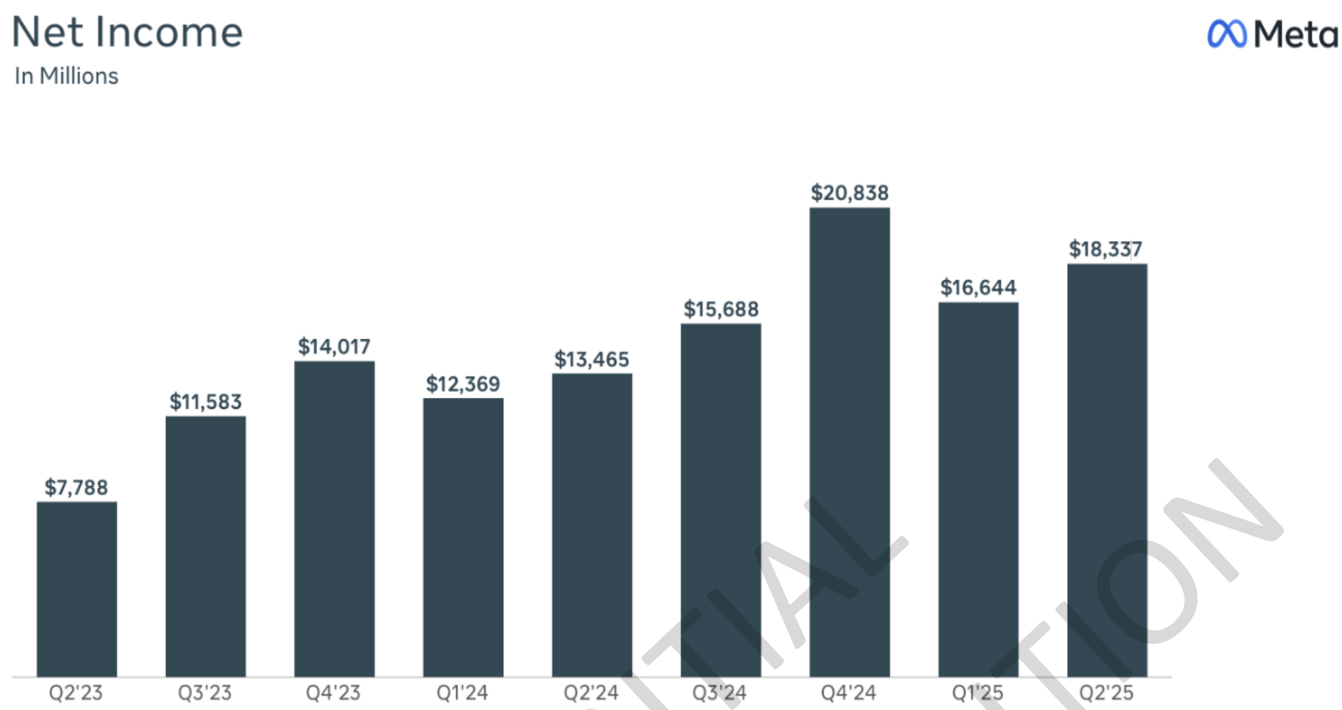


Exhibit 7: Meta Platforms' Diluted EPS